

## BOLLYWOOD LOSSES

# BLANK SCREENS

**BOX OFFICE REVENUE IS DOWN BY RS 100 CRORE THIS YEAR.**

Satellite right costs have dropped by **65%** while music right prices are down by **25%**.

The total revenue that Bollywood earned in 2008 was **Rs 10,900 cr** with overseas theatrical contributing **Rs 977 cr**.

Overseas box office collections have fallen by **10%**

KPMG estimates that domestic box office revenue in 2009 will be **Rs 7,880 crore**, down from **Rs 8,020 crore** in 2008 because of the liquidity crunch coupled with fewer releases.

According to KPMG, piracy in India is a **Rs 2,000-crore** market.

The year 2009 has seen a spate of losers, from the Rs 30-crore **Victory** which made Rs 1 crore to the Rs 65-crore **Chandni Chowk to China** that grossed Rs 18 crore.

Surprisingly, almost everyone is delighted at what they politely call a "correction" but which old timers like to call *lootmaar* but Reliance Entertainment chairman Amit Khanna describes more precisely as a "myth-making machine where false announcements were used to boost fake bottomlines". There's hope though. The US box office results this year have shown conclusively that everyone loves a good movie during the recession—January was a record-breaking year with \$1 billion in box office collections.

In India, the box office revenue of Rs 8 crore of a no-name film such as the Rs 6-crore 99 shows that if you give them the movies, people will come. But though the domestic box office revenue has grown year on year (from Rs 7,150 crore in 2007 to Rs 8,020 crore in 2008), the number of bottoms on the seats has not. Vipul Shah points out just one figure: "Nine years ago, *Gadar* made Rs 110 crore at an average ticket price of Rs 30. Last year, *Ghajini* made Rs 270 crore at Rs 300 a ticket. But the Indian producer/distributor of *Gadar* earned Rs 65 lakh more than *Ghajini*. So the pie has grown, but only for them." He is not alone in hoping that multiplexes, apart from giving producers a 50 per cent share of the revenue

in at least the first week (down to 42.5 per cent in the second week, 37.5 per cent in the third week and 30 per cent in the fourth week) will also reduce ticket prices between Monday and Thursday.

But the worst won't be over even when the last contract is signed between the producers and the distributors. Yes, the central samosa supplier to all multiplexes in Mumbai, who made two lakh samosas a day and was down to 5,000 a day, will be back in business. The strike has affected even the Rs-350-crore-a-year marketing industry, which is still stuck in an uncertain mode, says analyst Prabhat Choudhary of Spice. It's hit future work, as well, points out Kabir Khan, who awaits the release of his *New York*: "I've been in a strange frustrating limbo, unable to begin a new script."

## DE DANA DHAN Rs 60 crore

**STARRING** Akshay Kumar, Katrina Kaif

**HYPE** Laugh fest set in a Singapore hotel. Host of funnymen abound. Akshay woos Katrina. Enough said?

**HOPE** The jokes are less lavatorial than *Singh is Kinng*.

**RECESSION INDEX** Made by Venus at a high price to coincide with its public issue. That's on hold now.

